

25STCV19301 25STCV19301

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Case Number: 25STCV19301 Hearing Date: August 17, 2026 Dept: 509

Stem Edu Association v. PHH Mortgage Corporation, et al.

(1) DEMURRER COMPLAINT

(2) DEMURRER COMPLAINT

MOVING PARTY: (1) Defendant PHH Mortgage Corporation

(2) Defendant Velocity Mortgage Capital

RESPONDING PARTY(S): None

STATEMENT OF MATERIAL FACTS AND/OR PROCEEDINGS:

Plaintiff Stem Edu Association (Plaintiff) is a commercial tenant at 1458 S. San Pedro St., Unit 116, Los Angeles, CA 90015. Plaintiff alleges defendants PHH Mortgage Corporation and Velocity Mortgage Capital (collectively, Defendants) recently foreclosed on the building and are now attempting to evict Plaintiff in violation of the commercial lease agreement. Plaintiff brings causes of action for: (1) declaratory relief; and (2) preliminary and permanent injunction.

Defendants demur to the entirety of the complaint. Plaintiff did not file an opposition. [FN 1]

On June 15, 2026, this matter originally came to hearing. Plaintiff's counsel failed to appear. (6/15/26 Minute Order.) In its final ruling, the Court continued the matter to enable Plaintiff to seek reinstatement. Plaintiff was given until August 12, 2026, to file a supplemental declaration attesting to attempts to seek reinstatement. No such declaration was filed despite notice given to Plaintiff's counsel via email. (See 6/15/26 Notice of Ruling.)

TENTATIVE RULING:

Defendants' Demurrers are SUSTAINED WITHOUT LEAVE TO AMEND.

This action is DISMISSED WITH PREJUDICE, per Code of Civil Procedure, section 581(f)(1).

Moving parties are ordered to give notice.

DISCUSSION:

Demurrer to Complaint

I. Meet and Confer

The Declarations of attorneys Marc W. Thomas and Alyssa G. Reyes do not reflect that the meet and confer requirement was satisfied. Each attest to attempts to reach Plaintiff's counsel who remains unresponsive. While insufficient to satisfy the requirements to meet either telephonically or in person as required by Code of Civil Procedure, section 430.41, in the interest of judicial economy, the Court exercises its discretion to address the motion on its merits.

II. Request for Judicial Notice

Pursuant to Velocity's request, the Court grants judicial notice of Exhibits 1-4.

III. Legal Standard

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context. (Taylor v. City of Los Angeles Dept. of Water and Power (2006) 144 Cal.App.4th 1216, 1228.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or by proper judicial notice. (Code Civ. Pro. § 430.30, subd. (a).) A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. (SKF Farms v. Superior Court (1984) 153 Cal.App.3d 902, 905.) Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed. (Ibid.) The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action. (Hahn, at p. 747.) "We treat the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law." (Serrano v. Priest (1971) 5 Cal.App.3d 584, 591.) A "demurrer does not, however, admit contentions, deductions or conclusions of fact or law alleged in the pleading, or the construction of instruments pleaded, or facts impossible in law." (S. Shore Land Co. v. Petersen (1964) 226 Cal.App.2d 725, 732 (internal citations omitted).)

IV. Analysis

Defendants independently demur on grounds that Plaintiff is a suspended entity lacking the standing to bring this action.

Plaintiff is a suspended entity and has been inactive since September 3, 2024. (See Velocity RJN, Exh. 4.) "During the period that a corporation is suspended for failure to pay taxes, it may not prosecute or defend an action...The purpose of Revenue and Taxation Code section 23301 is to 'prohibit the delinquent corporation from enjoying the ordinary privileges of a going concern' [Citation], and to pressure it to pay its taxes [Citation]." (Grell v. Laci Le Beau Corp. (1999) 73 Cal.App.4th 1300, 1306.) A demurrer may be sustained because "[t]he person who filed the pleading does not have the legal capacity to sue." (Code of Civ. Pro., § 430.10, subd. (b).)

However:

A claim of lack of corporate capacity to prosecute or defend a civil action because of its suspended status 'is a plea in abatement which is not favored in law.' The primary purpose of statutes depriving suspended corporations of privileges enjoyed by a going concern, including the capacity to sue or defend litigation, is to motivate delinquent corporations to pay back taxes or file missing statements. The suspension statutes are not intended to be punitive. Once the statutory goals underlying suspension are met, no purpose is served by imposing additional penalties. Leniency permits a delinquent corporation to secure a revivor, even at the time of the hearing, at the request of the corporation or on the trial court's own motion. When a corporation's suspended status 'comes to light during litigation, the normal practice is for the trial court to permit a short continuance to enable the suspended corporation to effect reinstatement ... to defend itself in court.

(Cadle Co. v. World Wide Hospitality Furniture, Inc. (2006) 144 Cal.App.4th 504, 512–513, internal citations omitted.)

Given the policy of leniency as discussed above, Plaintiff was given two months to seek reinstatement. Unfortunately, Plaintiff did not oppose these motions, filed any declaration, attended the prior hearing, nor indicated that Plaintiff intends to cure their suspension and return to good standing since the filing of these demurrers. It appears that Plaintiff has simply abandoned the action after learning of this deficiency.

Accordingly, Defendants' Demurrers are SUSTAINED WITHOUT LEAVE TO AMEND.

This action is DISMISSED WITH PREJUDICE, per Code of Civil Procedure, section 581(f)(1).

IT IS SO ORDERED.

Dated: August 17, 2026 _____

Randolph M. Hammock

Judge of the Superior Court

FN 1 - Plaintiff's counsel of record was timely served with both motions via email.

Any party may submit on the tentative ruling by contacting the courtroom via email at by no later than 4:00 p.m. the day before the hearing. All interested parties must be copied on the email. It should be noted that if you submit on a tentative ruling the court will still conduct a hearing if any party appears. By submitting on the tentative you have, in essence, waived your right to be present at the hearing, and you should be aware that the court may not adopt the tentative, and may issue an order which modifies the tentative ruling in whole